

Buy Now Pay Later (BNPL) & Premium Fashion Purchase Intentions Among Gen Z Consumers

The growth of digital commerce has significantly changed consumer buying behaviour, especially among Gen Z consumers. One of the key developments in this area is the rise of Buy Now Pay Later (BNPL), a flexible payment option that allows consumers to purchase products immediately and pay later in instalments or deferred payments. Because of its convenience and affordability, BNPL has become increasingly relevant in online retail.

Gen Z is one of the most active consumer groups in digital shopping environments. In India, this segment plays an important role in online lifestyle and fashion consumption. At the same time, premium and luxury fashion is often linked with aspiration, identity, and self-expression. In such a setting, BNPL may influence purchase behaviour by reducing immediate financial pressure and making premium products feel more accessible.

Previous studies suggest that service quality can influence consumer intention, while digital payment research highlights the importance of trust, usability, and perceived value. However, limited research connects BNPL, Gen Z, and premium fashion purchase behaviour in one framework. Therefore, this study examines the impact of BNPL on luxury and premium fashion purchase intentions among Gen Z consumers.

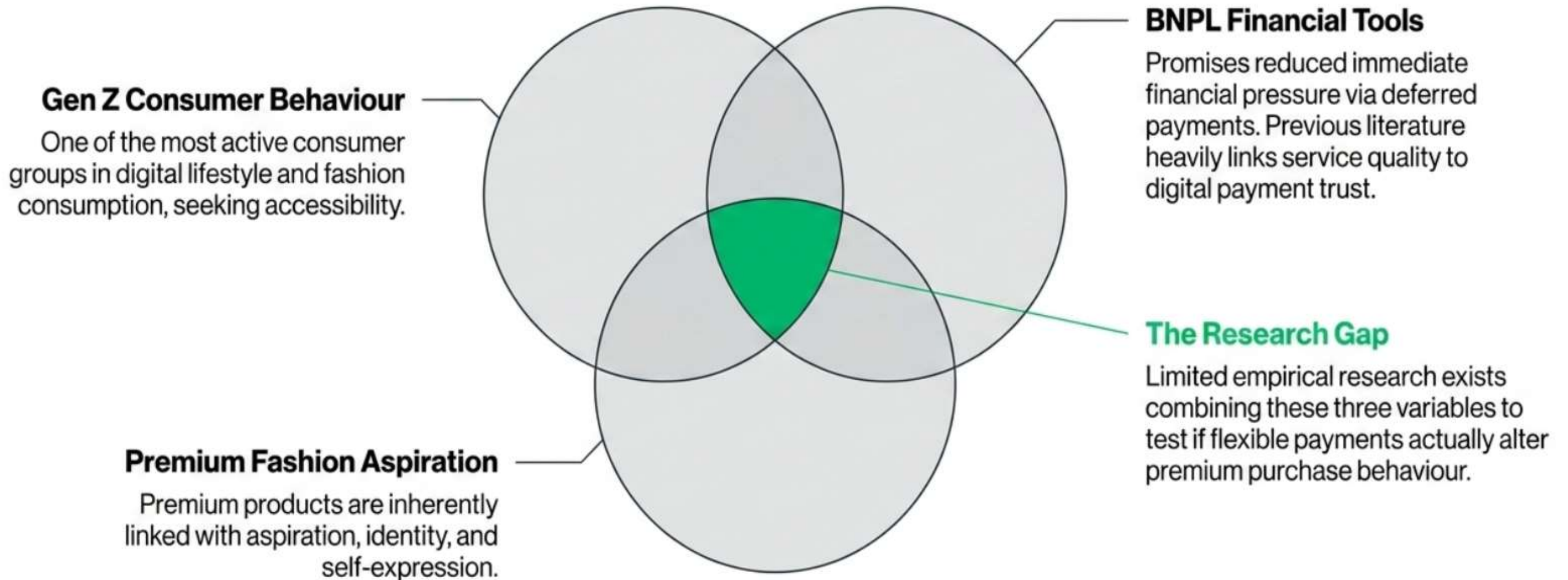
Literature Review

SL No.	Author Name	Title	Publishing Details	Relevance	Research Gap
1	Ali et al. (2013)	Service quality and customers' purchase intentions	Int. Journal of Bank Marketing	Service quality significantly improves purchase intention and satisfaction	Does not cover digital payments or BNPL in Gen Z context
2	Alrawad et al. (2023)	Trust and perceived risk in digital payment adoption	Journal of Innovation & Knowledge	Trust increases usage intention; Perceived risk reduces adoption	No focus on BNPL or fashion-related consumption behaviour

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<i>3</i>	<i>Cervellati et al. (2024)</i>	<i>BNPL consumer credit behaviour and financial decision-making</i>	<i>Journal of Behavioural & Experimental Finance</i>	<i>BNPL influences spending and financial decisions</i>	<i>Lacks focus on service quality and fashion purchase intention</i>
<i>4</i>	<i>Liao et al. (2022)</i>	<i>Perceived service quality and purchase intention</i>	<i>SAGE Open</i>	<i>Strong link between service quality and purchase intention</i>	<i>Does not consider BNPL or premium fashion context</i>

Bridging the Gap in Digital Commerce Research



Research Objectives

The study was conducted with the following objectives:

01

BNPL Awareness & Usage

To examine the level of awareness and usage of BNPL services among Gen Z consumers.

03

SERVQUAL Evaluation

To evaluate perceived BNPL service quality using SERVQUAL-inspired dimensions.

05

Influencing Factors

To examine whether factors such as income, BNPL awareness, prior BNPL use, and online fashion shopping frequency influence BNPL usage intention.

02

Online Fashion Behaviour

To study the online fashion shopping behaviour of Gen Z respondents.

04

Service Quality & Intention

To analyse the relationship between perceived BNPL service quality and BNPL usage intention.

06

Premium Fashion Behaviour

To understand how BNPL may shape premium and luxury fashion-related purchase behaviour among Gen Z consumers.

Research Methodology

Research Design

The study follows a **descriptive and analytical research design**. It is descriptive because it examines the respondent profile, online fashion shopping behaviour, BNPL awareness, and usage patterns. It is analytical because it studies the relationship between perceived BNPL service quality and BNPL usage intention using statistical tools.

Data Sources

The study is primarily based on **primary data** collected through a structured questionnaire administered via Google Forms. Secondary sources, including academic journals and industry reports, were used to provide theoretical support and contextual understanding, but were not included in the empirical analysis.

Population & Sampling

The target population consists of Gen Z consumers exposed to online shopping and digital payment systems. The sampling technique used was **convenience sampling**, as the questionnaire was distributed online among accessible respondents.

Key Constructs

For analysis, two main constructs were used:

Perceived BNPL Service Quality

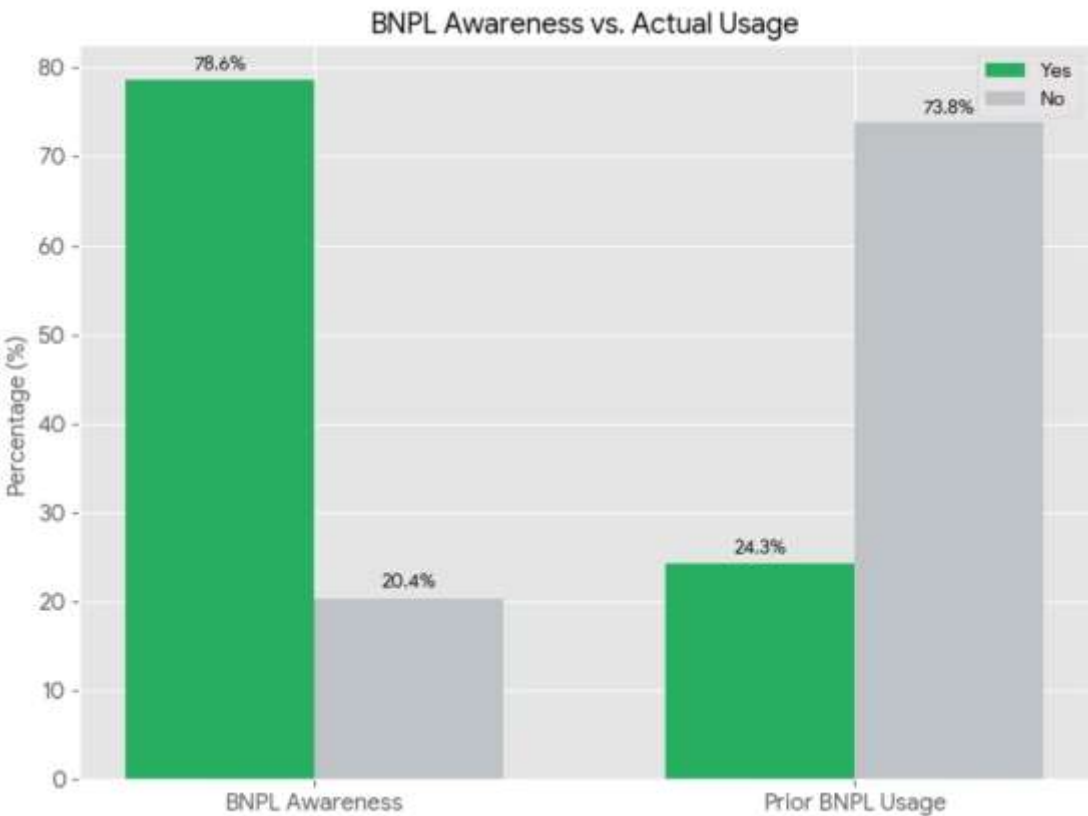
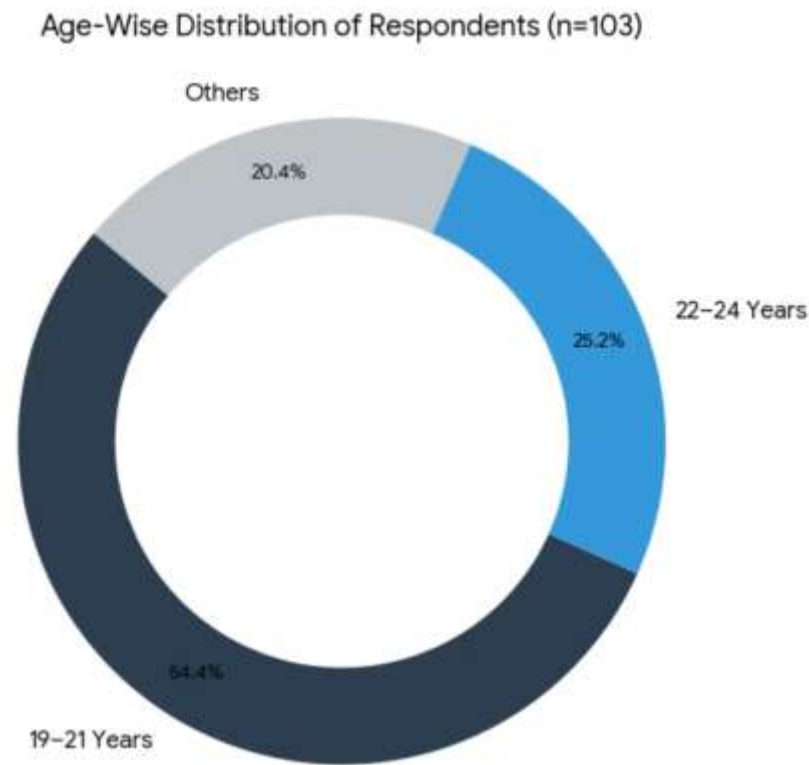
Measured through nine SERVQUAL-inspired items covering **appearance, reliability, responsiveness, assurance, and empathy**.

BNPL Usage Intention

Used as the **dependent variable**. BNPL usage frequency and willingness to use BNPL with discounts or promotional offers were used as operational indicators.

Data Analysis — Demographic & Background Profile

A total of **103 valid responses** were used for analysis after excluding non-consenting and unusable entries. The sample is appropriate for a study on BNPL and fashion-related consumption among Gen Z consumers. The largest age group was **19–21 years (54.4%)**, followed by 22–24 years (25.2%). Gender was balanced, most respondents were students, and BNPL awareness was high (**78.6%**) while prior use remained low (**24.3%**).



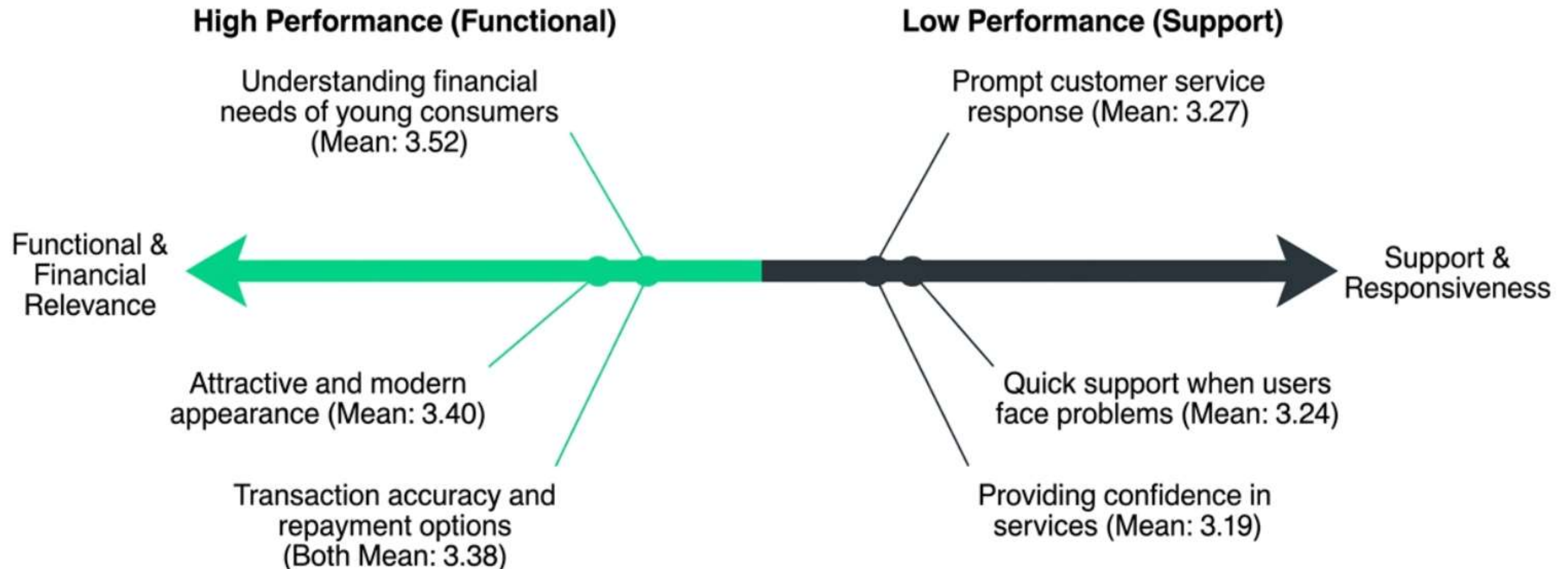
Descriptive Analysis of BNPL Service Quality

To assess perceived BNPL service quality, nine SERVQUAL-inspired statements were analysed. The highest mean score was for ***understanding financial needs (3.52)***, followed by ***transaction accuracy (3.38)*** and ***repayment options (3.38)***. The lowest was for ***quick support (3.24)***, along with other responsiveness-related dimensions.

S. No.	Statement	Mean	Std. Deviation
1	BNPL platforms/apps have an attractive and modern appearance	3.40	0.67
2	BNPL services complete transactions accurately	3.38	0.68
3	BNPL services function consistently without technical errors	3.27	0.67
4	BNPL platforms provide quick support when users face problems	3.24	0.64
5	Customer service responds promptly to BNPL-related issues	3.27	0.62
6	I feel secure while using BNPL for online fashion purchases	3.36	0.68
7	BNPL providers give me confidence in their services	3.19	0.73
8	BNPL services understand the financial needs of young consumers	3.52	0.77
9	BNPL providers offer repayment options that suit different users	3.38	0.66

The Service Perception Spectrum

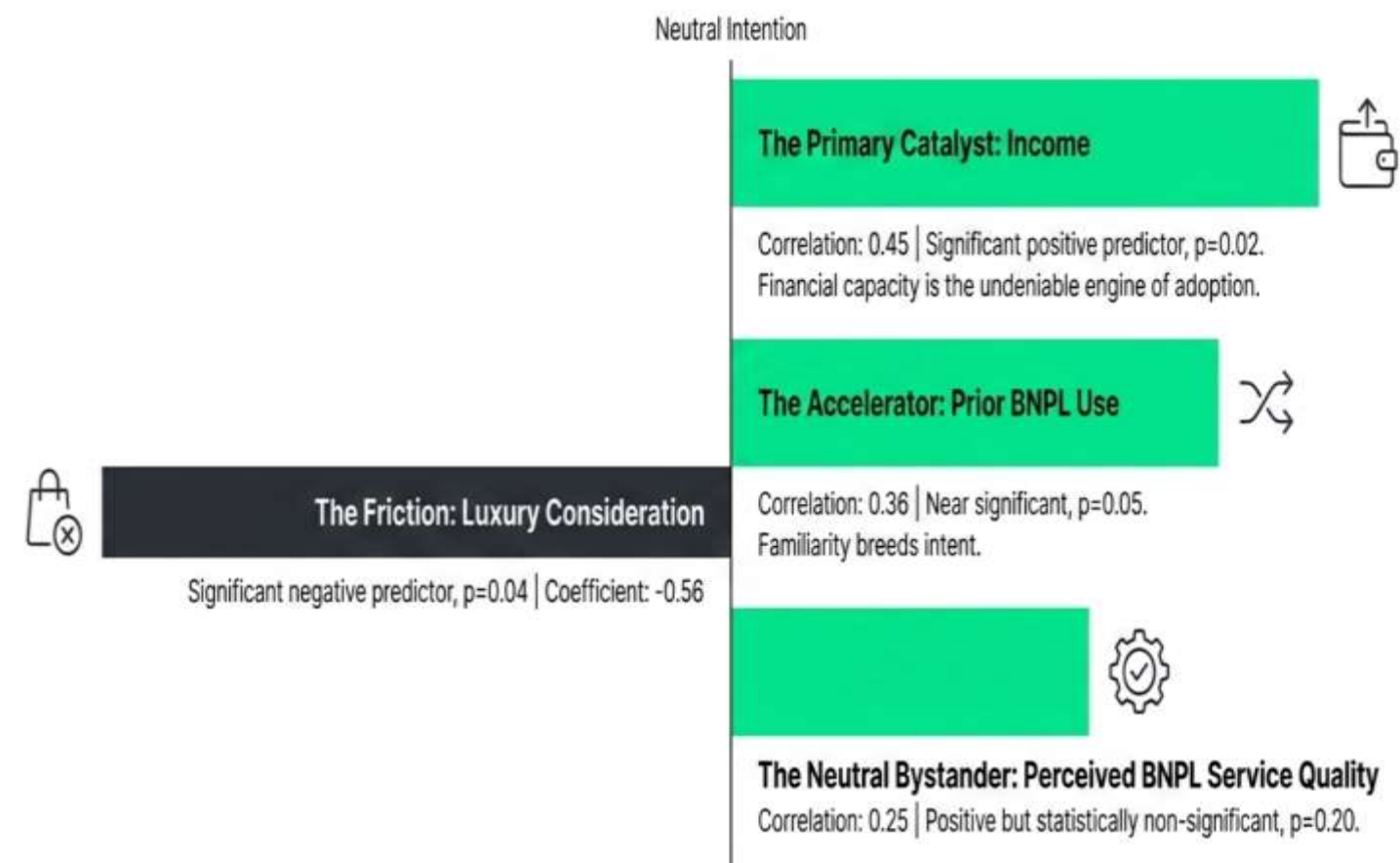
Overall Assessment: Neutral to moderately positive. The internal consistency of the scale is highly reliable (Cronbach's alpha = 0.896).



Correlation Analysis

5.4 Correlation Analysis

Correlation analysis was conducted to examine the relationship between key variables and BNPL Usage Intention. The results show that Perceived BNPL Service Quality has a positive but modest correlation with BNPL usage intention. A stronger positive relationship is observed for prior BNPL use, while the strongest correlation is observed for income. This indicates that BNPL usage intention is influenced not only by service-quality perception but more strongly by prior experience and financial capacity.



Regression Analysis

A multiple regression analysis examined **BNPL Usage Intention** as the dependent variable, with Perceived BNPL Service Quality as the main predictor and several shopping, awareness, and income controls.

Variable	Coefficient (B)	Std. Error	t-value	p-value	Interpretation
Constant	0.12	0.90	0.13	0.89	Not significant
Perceived BNPL Service Quality	0.31	0.24	1.29	0.20	Positive but not significant
Online Fashion Shopping Frequency	0.19	0.12	1.55	0.12	Not significant
BNPL Awareness	0.15	0.26	0.57	0.57	Not significant
Prior BNPL Use	0.58	0.29	1.98	0.05	Positive, near significant
Luxury/Premium Familiarity	0.51	0.51	1.00	0.32	Not significant
Luxury/Premium Consideration	-0.56	0.27	-2.07	0.04	Significant negative
Income	0.18	0.07	2.45	0.02	Significant positive

Model Summary

0.39

R²

0.0001

Significance

- Model explains **39% variation** in BNPL usage intention (R² = 0.39)
- Model is **statistically significant** (p < 0.001)
- **Income is the strongest predictor**
- Service quality shows a **positive but not significant effect**

Regression Analysis — Visual Overview

Key Takeaways from Regression

Income is Key — Income was the only statistically significant positive predictor ($p = 0.02$), confirming that financial capacity drives BNPL adoption.

Prior Experience Matters — Prior BNPL use showed near-significant positive influence ($p = 0.05$), highlighting the role of familiarity.

Luxury Consideration Deters — Luxury/premium fashion consideration had a significant negative effect ($p = 0.04$), suggesting aspirational consumers may avoid BNPL for premium purchases.

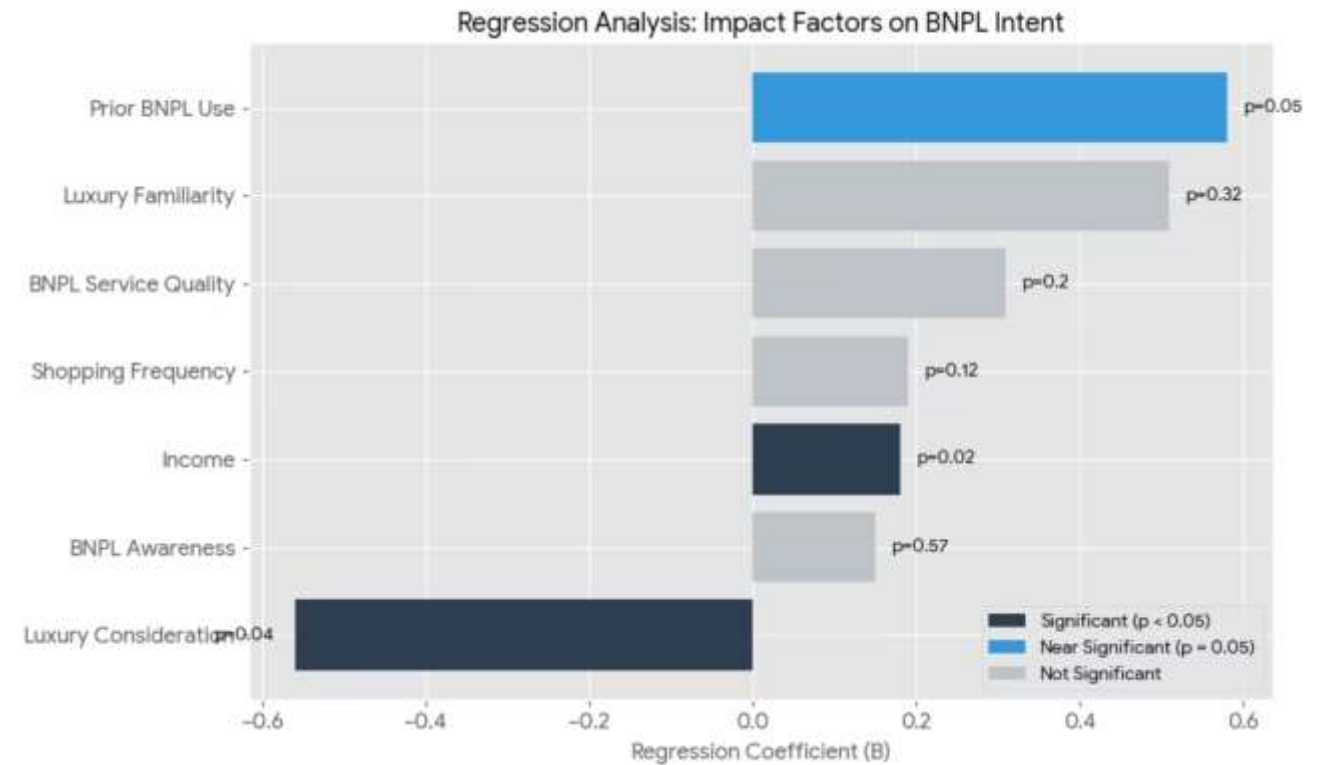


Figure: Regression coefficient plot — BNPL Usage Intention predictors



Overall Interpretation

Awareness vs. Adoption Gap

Respondents are generally aware of BNPL and moderately positive toward its service quality, but **actual adoption remains limited**.

Service Quality vs. Experience

While BNPL service quality shows a positive relationship with usage intention, **income and prior BNPL experience appear to be more influential predictors** in this sample.

BNPL & Premium Fashion

The findings suggest that BNPL may shape premium and luxury fashion-related behaviour among Gen Z consumers mainly through **affordability, familiarity, and payment flexibility** rather than service quality alone.

Findings & Hypothesis Outcome Summary

Key Findings

Awareness–Adoption Gap

BNPL awareness was high (**78.6%**), but actual usage was much lower (**24.3%**).

High Scale Reliability

Cronbach's alpha of 0.896 confirmed high internal consistency.

Service Quality Not Significant

Positive but statistically **non-significant** effect on usage intention.

Neutral Service Quality Perception

Empathy scored highest; confidence and support scored lowest.

Income Dominates

Income was the strongest predictor, followed by **prior BNPL use**.

78.6%

BNPL Awareness

24.3%

Prior BNPL Use

0.896

Cronbach's Alpha

0.45

Income Correlation

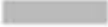
(Strongest)

0.25

Service Quality
Correlation

Hypothesis Outcome Summary

The following table summarises the empirical outcomes for each hypothesis tested in the study.

Hypothesis Theme	Assumed Driver	Observed Relationship	Statistical Significance	Empirical Outcome
H1 (Service Quality)	Positive driver	Positive	NOT significant	
H2 (Shopping Frequency)	Positive driver	Weak positive	NOT significant	
H3 (Awareness)	Positive driver	Positive	NOT significant	
H4 (Prior Use)	Positive driver	Positive	NEAR significant	
H5 (Premium Consideration)	Positive driver	Significant NEGATIVE	Significant	

 = Positive but Non-Significant

 = Significant Negative Association

Conclusion

The study concludes that BNPL has growing relevance in the digital shopping environment of Gen Z consumers. While respondents were generally aware of BNPL and viewed its service quality somewhat positively, actual usage remained limited, indicating that **awareness alone is not sufficient to drive adoption**.

Key Drivers of BNPL Usage Intention

The analysis suggests that **income level and prior BNPL experience** are stronger influences on BNPL usage intention than service quality alone. Although perceived BNPL service quality showed a positive relationship with usage intention, the effect was not statistically significant.

BNPL & Premium Fashion Behaviour

This indicates that BNPL is likely to influence premium and luxury fashion-related behaviour primarily through **financial convenience, affordability, and payment flexibility**.

At a Glance

78.6%

Awareness ≠ Adoption

Gap confirmed between awareness and usage.

0.02

Income Drives Intent

Strongest significant predictor.

Limitations & Future Research

Convenience Sampling — Distributed online among accessible respondents; may introduce selection bias and limit generalisability.

Proxy Measures — Purchase intention measured via proxy indicators rather than direct measures.

Moderate Sample Size — 103 valid responses may not fully represent the broader Gen Z population.

Larger & Diverse Samples — Future studies should use larger, more representative samples across regions and demographics.

Direct Purchase Intention Measures — Validated scales would strengthen empirical rigour in future research.

Longitudinal Studies — Tracking BNPL adoption over time could reveal evolving Gen Z consumer behaviour patterns.

Research Impact

Despite its limitations, this study provides valuable insights into BNPL services, consumer payment behaviour, and premium fashion consumption among Gen Z — a rapidly growing demographic.

Consumer Behaviour

Insights into Gen Z BNPL adoption patterns

Fintech Strategy

Implications for BNPL service providers

Fashion Retail

Guidance for premium fashion brands targeting Gen Z